

Strategic Coherence at Austrian Power Grid

A Playing to Win Analysis

BACHELOR'S THESIS

submitted in partial fulfillment of the requirements for the degree of

Bachelor of Science

in

Business Informatics

by

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to the Faculty of Informatics

at the TU Wien

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Vienna, February 3, 2026

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Declaration of Authorship

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I hereby declare that I have written this thesis independently, that I have completely specified the utilized sources and resources and that I have definitely marked all parts of the work – including tables, maps and figures – which belong to other works or to the internet, literally or extracted, by referencing the source as borrowed.

I further declare that I have used generative AI tools only as an aid, and that my own intellectual and creative efforts predominate in this work. In the appendix “Overview of Generative AI Tools Used” I have listed all generative AI tools that were used in the creation of this work, and indicated where in the work they were used. If whole passages of text were used without substantial changes, I have indicated the input (prompts) I formulated and the IT application used with its product name and version number/date.

Vienna, February 3, 2026

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Abstract

This thesis examines whether Austrian Power Grid's Strategy Portfolio 2026 represents genuine strategy or comprehensive planning documentation. The analysis applies Roger Martin's Playing to Win framework, which structures strategy around five choices: winning aspiration, where-to-play, how-to-win, must-have capabilities, and management systems. The research draws on APG's internal strategy documents and interviews with the Strategy Portfolio Manager and Chief Enterprise Architect.

The findings reveal significant gaps. APG's winning aspiration describes what the organization wants to be rather than what value it creates for others. The strategy encompasses 15 action fields covering nearly everything the company does, from major grid expansion to office process standardization. This breadth contradicts the idea that strategy requires choosing what not to do. The strategy development process works backwards: departments propose initiatives they want to pursue, which strategy staff then categorize into action fields. This inverts proper strategic logic. APG does not articulate how it will create distinctive value or what capabilities major initiatives require.

These patterns suggest what Martin calls strategic planning theater: organizations produce detailed documentation while avoiding hard choices about priorities and trade-offs. The thesis offers recommendations for reconstructing APG's strategy within its regulated monopoly constraints. The analysis shows that regulated status does not eliminate strategic choice and that Martin's framework can effectively diagnose strategic problems in natural monopoly contexts when appropriately adapted.

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Introduction

Austrian Power Grid AG (APG) operates Austria's high-voltage transmission network. The network spans over 3,400 kilometers. As Austria targets climate neutrality by 2040, APG must integrate significant renewable capacity and maintain 99.99 percent grid reliability. The company plans to invest €9 billion by 2034. APG will shift from a traditional transmission operator to Austria's energy system manager.

This transformation requires careful scrutiny of APG's strategic approach. Does APG's Strategy Portfolio 2026 represent a genuine strategy, or is it simply planning that documents departmental tasks? To what extent do APG's strategic choices align with established frameworks in business strategy? These questions are important. APG operates as a regulated natural monopoly. It is free from competitive market pressures but faces major resource coordination challenges.

1.1 Research Motivation

I started working as an enterprise architecture intern at APG in September 2025 under the Chief Enterprise Architect (EA). During the Architecture Blueprint project, which maps APG's organizational capabilities, EA noticed tensions between APG's strategic ambitions and organizational realities. EA recommended this topic for my bachelor's thesis and introduced me to Roger Martin's Playing to Win framework as a diagnostic tool. Martin's approach is particularly relevant for APG given his work in monopolistic versus competitive contexts. [Mar16]

1.2 Research Question and Scope

The central research question is: To what extent does APG's current strategy align with Roger Martin's Playing to Win framework, and how could strategic decision-making be

enhanced? This breaks down into four components, which match the thesis structure. First, what does Playing to Win prescribe for natural monopolies? Second, how does APG now approach strategy development? Third, where are the discrepancies between APG's approach and Martin's framework? Fourth, what could practically improve strategic coherence within APG's regulated monopoly constraints?

The analysis focuses on APG's Strategy Portfolio 2026 as documented in APG's internal Confluence space. The thesis evaluates the five strategic choices Martin identifies: winning aspiration, where-to-play, how-to-win, must-have capabilities, and management systems. It asks whether these choices are articulated at APG. It also checks if they exhibit the cascade coherence Martin describes.

1.3 Methodology

This research uses case study methodology to analyze APG's strategy through Martin's framework. The main documentation source used was the internal Confluence Strategy Space, for which I have been given permission. [Aus26] I conducted semi-structured interviews with two key insiders from the Organizational Development Department (UDG): the Strategy Manager (hereafter SM), who oversees APG's strategic planning process, and the Chief Enterprise Architect (hereafter EA), whose enterprise architecture work often intersects with strategic planning.

The SM interview focused on strategy development processes, initiative selection criteria, and the evolution of APG's strategic approach. The EA interview covered challenges in strategic coherence, capability gaps, and disconnects between the strategic and operational layers. Both interviews were recorded and transcribed with participants' consent.

Analysis involved mapping APG's strategic elements onto Martin's five-choice framework.[ML13] For each choice, I assessed whether APG made explicit decisions and examined the processes behind these choices. I also checked whether the choices reinforce each other. This revealed patterns that indicate either strategic planning theater or authentic strategic choice.

1.4 Thesis Structure

Chapter 2 presents Martin's Playing to Win framework, with an emphasis on adaptations for natural monopolies. Chapter 3 outlines APG's current strategic approach, based on internal documents and interviews. Chapter 4 evaluates APG's strategy against the Playing to Win framework, identifying misalignment and incoherence. Chapter 5 offers recommendations to enhance strategic coherence within APG's responsibilities. Chapter 6 concludes with key findings and implications.

The Playing to Win Framework

Roger Martin and A.G. Lafley developed the Playing to Win framework during Lafley's time as CEO of Procter & Gamble. Martin distinguishes strategy from strategic planning. Strategy means making choices about where to compete and how to win. Planning simply documents activities and allocates resources.

2.1 The Five Strategic Choices

Martin structures strategy around five essential questions. Organizations must address these questions [ML13]. Each decision builds on the previous one. This process results in what he terms cascade coherence. The five questions are: What is our winning aspiration? Where will we play? How will we win? What capabilities are required? What management systems are necessary?

2.1.1 Winning Aspiration

A winning aspiration explains what success means for an organization. For most companies, this means outperforming competitors and delivering real value to customers. Martin warns against focusing only on numbers like revenue or market share. These numbers are the result of success, not its meaning. The best aspirations focus on customer value and creating good results for all involved.

2.1.2 Where to Play

The where-to-play decision means choosing which markets, customer groups, regions, sales channels, or parts of the business to focus on. Martin points out that strategy also means deciding what not to do. Organizations cannot do everything. They need to put their resources into areas where they can stand out.

This decision concerns whether the company will operate worldwide, in certain regions, or only locally. It includes the products it will offer, the customers it will serve, how it will reach those customers, and which parts of product development it will handle. Good strategies require clear, focused choices in these areas, not trying to do everything.

2.1.3 How to Win

The how-to-win decision explains how the organization will create value in the chosen area. It explains why customers should choose this organization over others. Martin says that the how-to-win and where-to-play choices depend on each other. Different markets require different approaches to succeed.

In competitive markets, how-to-win usually means either having the lowest cost or offering something different. Martin warns that vague statements like "we will win through great customer service" are not helpful unless the organization explains what makes its service special and how it will deliver it. Good how-to-win choices clearly show how value will be created and kept.

2.1.4 Must-Have Capabilities

Capabilities are the specific strengths needed to execute a strategy. Martin describes them as a mix of skills, ways of working, systems, and resources that yield results. Capabilities are not the same as activities or functions. For example, marketing is a function, but truly understanding customers requires specialized skills in research, analysis, and interpretation.

Choosing must-have capabilities helps test if a strategy is realistic. Organizations need to honestly assess whether they can build or acquire the capabilities needed for their where-to-play and how-to-win choices. If they cannot, the strategy has to change. As illustrated by Martin in the book, P&G, for example, focused on five main capabilities, such as deep consumer understanding, innovation, and brand building, to support its strategy.

2.1.5 Management Systems

Management systems are the ways an organization is set up and the processes it uses to keep its strengths over time. These systems include how performance is measured, how people are paid, how the organization is structured, and how decisions are made. Without the right systems, strengths fade. It becomes harder to carry out the strategy.

Martin stresses that management systems need to support strategic choices. For example, if a company wants to focus on innovation but only rewards short-term cost-cutting, the strategy will not work. Systems influence behavior, so they must align with the organization's main goals.

2.2 Cascade Coherence

All five strategic choices need to support one another to achieve what Martin calls cascade coherence. Each choice should make sense with the others. The where-to-play and how-to-win choices are the heart of the strategy and must work well together. The organization also needs the right strengths to succeed in its chosen area and systems to keep those strengths strong.

If organizations make choices without checking how they fit together, their strategy will fail. [ML13] For example, a company might try to compete in high-end markets without the necessary strengths. It might also try to lead in innovation while keeping systems that punish mistakes. Martin says most strategy failures happen because choices do not fit together, not due to a single bad decision.

To assess coherence, organizations need to examine how their choices connect. Does the where-to-play decision allow for unique ways to win? Do they already have the needed capabilities, or can they develop them? Will management systems maintain these capabilities? If not, the strategy should be changed.

2.3 Applying Playing to Win to Natural Monopolies

Martin wrote extensively about how to adapt the Playing to Win framework for organizations without direct competitors. Natural monopolies, like transmission system operators, face special challenges. Even though they do not have competition, they still have to meet the needs of many different stakeholders and follow strict rules.

2.3.1 Redefining Winning

For monopolies, winning cannot mean beating competitors, because there are none. Martin says monopolies should define success as creating much more value than the resources they use. [Mar16, Mar25]. This is important because funders and regulators allocate more resources only when the organization demonstrates that it creates significant value. If a monopoly only gives average value, it could lose funding and face more rules.

Most monopolies operate in two-sided markets, where one group pays for the service and another group benefits. For example, in transmission system operator networks, electricity users get reliable power, while those who pay network fees cover the costs. Success depends on delivering far more value than the resources used, which means managing resources effectively and having a clear plan for creating value.

2.3.2 Where to Play Challenges

Natural monopolies face special problems when choosing where to play. Rules often decide their service area, also known as their mandate, but Martin says there are still many choices. For example, a transmission operator could just run the grid or also

get involved in system coordination, market services, or support the transition to new energy sources, not to mention the international levels involved in transmission network management.

The main risk is mandate drift, in which monopolies take on more activities simply because they lack competition, not because they add value. [Mar16] Without competition, organizations might add services that weaken their focus and make them less efficient. Martin warns that monopolies should not try to do everything they are allowed to do. [Mar15] Good where-to-play choices mean saying no to things that do not add real value. Monopolies often do not invest enough in building new strengths because they feel little pressure from competitors; as a result, they become lazy and ineffective over time. To avoid this, they need to create their own discipline by setting up programs to build new strengths. This problem worsens as monopolies' mandates expand and they take on more activities. If organizations do not carefully assess their strengths and gaps, they might start projects they cannot handle, which lowers value to others and weakens their strategy.

2.4 Strategy versus Strategic Planning

Martin makes a clear difference between strategy and strategic planning. Strategy means making choices about where to play and how to win, while strategic planning is about writing down plans and deciding how to use resources. Many organizations create detailed planning documents but avoid making real strategic choices.

Martin calls this strategic planning theater. [Mar14] Organizations make fancy presentations with many projects grouped into categories. These documents talk about activities but do not make choices about what to focus on or what to give up. If everything is a priority, nothing really is. This leads to scattered effort and average results.

Good strategy means facing tough questions, like which activities to skip, which chances to turn down, and how to create unique value. Organizations often avoid these questions because they are difficult and upsetting. It is easier to make plans that include everything, but this makes it hard to build a focused strategy.

APG's Current Strategic Approach

Austrian Power Grid operates Austria's 380-kV and 220-kV transmission network. The company is wholly owned by Verbund AG and employs over 1000 people. APG's operations include network planning, construction, maintenance, and system operation. The company coordinates electricity flows across Austria and manages interconnections with neighboring countries.

3.1 Strategic Context and Challenges

APG operates under extraordinary pressure from Austria's energy transition. The country aims for climate neutrality by 2040 and 100 percent renewable electricity by 2030. This requires integrating massive renewable capacity from wind and solar installations. Wind capacity is projected to grow from 3.7 GW in 2023 to over 10 GW by 2030. [Aus25] Solar capacity will expand from 6.3 GW to potentially 25 GW over the same period. Bringing in more renewable energy creates problems for the grid. Wind and solar power only produce electricity when the weather allows. More and more electricity is generated far from where it is used. The Austrian grid was built for large power plants near cities, not for many smaller renewable sources spread across the country.

The Network Development Plan 2025 calls for spending €9 billion by 2034. [Aus25] Big projects include building or upgrading 500 kilometers of high-voltage lines, 400 kilometers of other power lines, and 23 new substations. The company also needs to double the amount of electricity its transformers can handle. APG will be taking on more construction work than ever before.

Rules and regulations make it even harder to build new infrastructure. Getting approval for new power lines takes about 77 months on average. [Aus25] APG has to deal with

complex environmental reviews, meetings with various groups, and political discussions. For example, the Salzburg transmission line took more than 10 years from planning to use. To build projects faster, the rules need to change, and the public needs to be more supportive.

3.2 Strategic Positioning and Aspiration

APG positions itself as Austria's energy system manager rather than merely a transmission operator. This positioning appears throughout strategy documents. The company describes itself as orchestrating the energy transition, coordinating diverse stakeholders, and enabling climate neutrality [Aus23, Aus26]. Through this positioning, organizational growth ambitions become visible. This can be seen not only in the steady headcount increase from 611 in 2021 to over 1000 today, but also in the organization's addition of new divisions and expansion of departments.

Calling APG an energy system manager remains unclear about what value it actually delivers. The strategy documents list what APG does, but do not clearly explain how doing more things helps others. This way of describing the company seems to support its growth, but does not clearly show how it creates value in a unique way.

3.3 Strategy Development Process

APG's strategy development follows an annual cycle managed by the company development division. The process begins with summer workshops, during which strategy staff meet with each operational division. These workshops include division managers, demand managers, and unit leaders. Participants discuss environmental changes, emerging challenges, and potential initiatives. [Str26]

SM explained that these workshops generate proposals for new strategic measures or modifications to existing ones [Str26]. Strategy staff compile these proposals into a draft portfolio. The draft circulates for internal review before the formal strategy workshop in October. The October workshop brings together the Strategic Steering Board, comprising division managers from Assets, System, and Finance, as well as executive board members and the head of company development.

The October workshop reviews and completes the Strategy Portfolio for the next year. SM said that this process is based on discussion, not strict rules. If someone thinks an idea is important and can make a good case for it, it usually gets added. There are no clear rules to separate big-picture strategy from everyday operations. The process allows for many different priorities instead of making tough decisions.

SM said that many of the projects in the portfolio were already happening before they were called strategic. Projects start in different departments and are considered strategic when they become more important or are noticed by leaders. The strategic action fields,

or Handlungsfelder, were created two years ago to help organize things. These categories group existing projects rather than helping make new strategic decisions.

The strategy portfolio is seen as a work in progress, not a finished product. SM said that APG's approach to strategy has improved over the last 15 years. Older strategy documents had unclear, general goals that were often forgotten. Now, the focus is on setting measurable goals and tracking project execution. Still, the process is mostly about gathering and organizing projects, not about making real strategic decisions.

3.4 Strategy Portfolio Structure

The Strategy Portfolio 2026 organizes initiatives into 15 strategic action fields [Aus24]. Each Handlungsfeld group relates initiatives under a thematic heading. The action fields are:

1. System Requirements for Future Energy System
2. Grid Expansion Implementation
3. Digital Transformation
4. Vertical System Integration
5. Horizontal System Integration
6. Control Center 2.0
7. Supply Security
8. Cyber and Physical Security, Resilience
9. Regulatory System and Financing
10. Commercial Management and Cost Efficiency
11. Sustainability
12. Personnel Development, Employer Attractiveness, and Diversity
13. Change for Growth
14. IT Enablement, Organizational Process Improvement, and Standardization
15. Public Affairs

The portfolio structure is documented comprehensively in APG's internal Confluence system [Aus26].

These action fields connect to five company goals:

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1. Safety and System Responsibility
2. Ecological Sustainability
3. Market Development
4. Economic Efficiency
5. Organizational and Personnel Development.

Each initiative links to at least one company goal, creating a network of connections between measures and objectives.

The portfolio's 60 projects vary wildly in scope and strategic significance. The €1 billion Salzburg transmission line sits alongside office process standardization. This range suggests weak prioritization criteria.

Many projects will take several years to finish. Grid expansion projects will last until 2034. Digital transformation projects will take 3 to 5 years. Some activities, such as improving public relations, are ongoing and lack a clear endpoint. The portfolio includes both projects with clear goals and ongoing programs that aim for steady improvement.

Each project lists the team in charge and the teams involved, but responsibilities are not always clear in this picture. Big projects involve many departments, making collaboration difficult. The portfolio shows who is involved, but it does not make it clear who gets to make decisions or what happens in the event of disagreements.

3.5 Goal Structure and Metrics

APG defines company goals across five categories aligned with stakeholder priorities. The goals include specific, quantifiable targets for 2030 and 2035. Safety and System Responsibility goals emphasize 99.99 percent reliability and on-time delivery of grid expansion projects. Ecological Sustainability goals target a 90 percent reduction in Scope 1 and 2 greenhouse gas emissions and expansion of electric vehicle fleets. Market Development goals focus on platform flexibility, platform establishment, and the implementation of capacity mechanisms. Economic Efficiency goals address cost optimization and capital returns aligned with market rates. Organizational and Personnel Development goals include tripling research investment, implementing digital transformation, and improving employer attractiveness.

The goals are not ranked or given different levels of importance. In the strategy documents, all goals seem equally important. This makes things unclear when choices have to be made. For example, should APG focus more on saving money or on investing in sustainability? How should it choose between being reliable and finishing projects faster? The way the goals are set up does not help answer these questions.

Metrics exist for many goals, but not all. Reliability measurement is straightforward at 99.99 percent. Investment volumes are tracked precisely. However, goals like "effective positioning as energy system manager" lack clear success criteria. How does APG measure whether it has achieved this positioning? The absence of metrics for some goals suggests they serve rhetorical rather than management purposes.

EA noted that APG's strategy system has too many items without a hierarchical structure [Chi26]. A flat list of 50 goals ranging from gender balance to European positioning creates confusion rather than clarity. He suggested restructuring around 5 top-level goals with perhaps 10-15 supporting objectives. This would create the hierarchy needed for priority setting and trade-off resolution.

3.6 Internal Critique of Current Approach

Both interview subjects offered critical perspectives on APG's strategy development. EA described the Strategy Portfolio as methodologically sound in structure but functionally a list rather than a strategy [Chi26]. The portfolio connects measures to goals but lacks the prioritization needed for strategic choice. Goals are not weighted against each other, and initiatives are not prioritized within or across action fields.

The process creates the portfolio backwards, according to EA. Organizational units independently decide what they want to do. They submit these preferences annually. Strategy staff categorize submitted items into Handlungsfelder after the fact. This inverts proper strategy development: it should start with strategic questions and then identify initiatives that support strategic choices.

EA emphasized that APG lacks the capability to think. The company runs 300 separate demands, with individual departments purchasing systems and asking IT to install them. According to him, this fragmentation creates overwhelming chaos. His Architecture Blueprint project attempts to introduce capability mapping to connect strategic goals with operational execution; however, this work proceeds in parallel to the main strategy process.

SM provided a more sympathetic view while acknowledging limitations [Str26]. She noted that many initiatives in the portfolio have questionable strategic character. However, if an initiative matters to someone in leadership, it gets included. Formal exclusion criteria do not exist. The portfolio thus rather accommodates organizational politics rather than enforces strategic discipline.

SM explained that initiatives rarely get rejected outright. If something seems less strategic during discussions, it might be removed from the portfolio. However, this does not mean the initiative stops. It simply proceeds without strategic designation. The portfolio, therefore, represents only a subset of APG's total project activity, not a comprehensive view of organizational work.

Both interviewees expressed hope that APG's strategic approach will continue maturing. SM noted the evolution from vague earlier strategies to more structured current

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approaches. EA sees an opportunity to connect strategic and operational layers through capability mapping, but in the end, both acknowledged significant gaps between current practice and true strategic thinking.

Analysis: Strategic Coherence at APG

This chapter examines APG's strategy through Roger Martin's Playing to Win framework. The analysis reviews each strategic choice and checks how well they fit together. It uses strategy documents and interviews to determine whether APG has made real strategic choices or is merely engaged in strategic documentation.

4.1 Winning Aspiration

APG says its main goal is to become Austria's energy system manager. This goal shows up often in strategy documents and is also clearly reflected by APG's slogan: "Wir managen das Energiesystem der Zukunft" - "We manage the energy system of tomorrow". However, this goal has three main weaknesses when viewed through Martin's framework.

First, the goal focuses on what APG wants to be rather than what it offers others. Saying APG will be the energy system manager explains what the company wants, not what it does for others. Martin says strong goals should focus on customer impact, but APG's goal does not explain how it creates value. [Mar16] Why does APG managing the system create more value than other options? What needs does more coordination meet? Second, the aspiration may serve organizational expansion rather than strategic focus. APG's headcount grew significantly as the company began working on substantial grid expansion projects and adopted the energy system manager role. As Martin warns monopolies about this dynamic, organizations expand their scope because they can, using aspirational language to justify the expansion. [Mar15] The €9 billion investment program justifies workforce expansion, but the energy system manager framing extends beyond infrastructure delivery into coordination and orchestration roles that require demonstrating value exceeding costs. Third, the goal does not set clear limits on what

the company should do. Martin suggests a different approach for monopolies. APG could aim to help Austria's energy transition at the lowest possible cost to society. This would focus on value for others and set clear ways to measure success.

4.2 Where to Play

Looking at where APG chooses to focus shows that its scope has grown too wide.

The Strategy Portfolio 2026 includes 15 action fields that cover almost everything the company does. Grid expansion is listed along with IT updates, public relations, diversity programs, and research. Covering so much goes against Martin's main idea that strategy means choosing what not to do. The action fields show that APG's focus is too broad in many ways. Action Field 1 focuses on what the future energy system needs, encompassing almost any activity related to changing the energy system. Action Field 3 discusses digital transformation, but does not specify which technology projects are truly important and which are just regular updates. Action Field 11 covers sustainability, such as reducing greenhouse gas emissions and protecting habitats. While these are good things, they are more about being a responsible company than making clear choices about where to stand out. The broad focus extends beyond the action fields. Within each field, projects can vary widely. Grid expansion includes large €1 billion transmission line projects as well as standardizing the buying process. Digital transformation includes building important new platforms as well as picking tools for people to work together.

The way APG creates its strategy explains why its focus keeps growing. SM said that different parts of the company suggest projects they think are important. If someone makes a good case, the project is added to the list. There are no clear rules for what to leave out. This turns the process into a political one where departments push for their own ideas. The result is a long list of projects, but no clear strategy. Every department gets its projects included to keep everyone happy. Strategy staff sort these projects into action fields after collecting them. The action fields just organize existing projects rather than help decide where to focus. EA pointed out that APG's process is backwards. Strategy should start by asking where the company can really stand out, then pick projects that support those choices. APG starts with the projects departments want, then puts them into categories.

Martin says that strategy means making tough choices, as companies cannot be the best at everything. [ML13] APG's Strategy Portfolio shows no real trade-offs. Everything seems just as important as everything else. When asked about choosing between projects, SM said that projects are linked to company goals, but the goals are not ranked. All five goal areas seem equally important. EA said that it is impossible to set real priorities without ranking goals and making trade-offs. With a long list of 60 projects across 15 areas, APG cannot make informed choices about where to allocate its resources. If everything is a priority, then nothing really is.

4.3 How to Win

The how-to-win choice is mostly left unsaid in APG's strategy. The company does not clearly explain why its activities create special value for others.

APG likely succeeds by providing reliable power transmission at a fair cost and helping add more renewable energy. Having 99.99 percent reliability shows strong performance. However, the goal of being the energy system manager suggests APG wants to succeed in a new way. But the strategy documents do not explain what extra value this role brings or how APG provides it.

Not having a clear how-to-win plan causes several problems. Departments cannot tell if their projects really add value. Leaders cannot check if resources are being used for the most important things. People outside the company do not know what to expect from APG besides reliability.

Martin argues that monopolies win by creating value far exceeding the resources they consume. This requires efficiency and effectiveness that justify the organization's privileged position. For transmission operators, this value manifests in system reliability, market efficiency, and the enabling of renewable integration. APG's 99.99 percent reliability creates enormous value by preventing blackouts.

However, APG's wider focus raises questions about how well it creates value. Does APG managing the system create more value than other ways of organizing things? Could markets or rules do the job without APG being directly involved? The strategy does not answer these questions.

Martin points out that most monopolies work in markets with two sides. For APG, people who use electricity get reliable power, while those who pay for the network cover the costs. The company succeeds by making the difference between the value given and resources used as big as possible. This setup should shape how APG thinks about creating value, yet the Strategy Portfolio does not address these basic questions.

4.4 Must-Have Capabilities

APG's Strategy Portfolio does not really assess the skills or abilities the company needs.

The company lists projects it wants to undertake, but does not check which skills are needed or whether APG can develop them. Without this check, APG may take on projects it cannot do well. Martin says capabilities are made up of skills, ways of working, systems, and resources that help achieve results. Good strategies pick the 3-5 main abilities needed to support their choices. APG's strategy documents do not do this. The €9 billion investment program needs excellent program management, which means technical planning, working with others, dealing with rules, and overseeing construction. The strategy does not treat this as a skill that needs to be built up. EA's Architecture Blueprint project attempts to introduce capability thinking by mapping organizational

capabilities and linking strategic measures to capability requirements. However, this work proceeds separately from the main strategy process.

Failing to consider the required skills increases the risk of project failure. APG takes on big projects without checking if the company is strong enough to deliver them well. Digital transformation provides one example. The Strategy Portfolio includes projects from updating control centers to building data platforms to using artificial intelligence. These projects require a wide range of technical skills. Does APG have experts in cloud systems, data engineering, and artificial intelligence? Can these skills be built or hired? The strategy does not answer these questions. EA said APG works in a scattered way, with departments buying their own systems and asking IT to set them up. This shows weak IT management. Digital transformation projects may have problems in this setup.

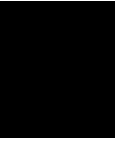
Building skills and abilities takes steady investment and focus from management through training, standardizing processes, and changing how the company is set up. APG's strategy does not talk about how to build these skills. Martin warns that monopolies struggle to develop new skills because they lack competition to push them to improve. APG faces this problem strongly. As a regulated monopoly, the company does not have to compete for customers. But the energy transition needs top performance. APG needs skills to deliver big projects on time and on budget. Without a clear plan to build these skills, the company may not get them.

4.5 Management Systems

APG's strategy does not focus much on management systems. The company has annual strategy reviews and project checks every 3 months, but these are just regular management steps, not the kind of strategic systems Martin talks about. APG uses several management steps to carry out its strategy. Each year, the company reviews its Strategy Portfolio. Every three months, it checks how projects are going. But these steps focus on tracking projects rather than building the company's skills. The reports show whether projects are on time, but do not check whether the company is getting stronger.

EA said that APG's management systems do not effectively link strategy and daily operations. Changes in strategy do not always lead to changes in how things are done. Lessons from daily work do not always shape future strategy. Martin emphasizes that management systems must match the company's main goals. If the strategy needs new ideas but the company only rewards playing it safe, the strategy will not work.

The €9 billion investment program needs great project delivery skills. Does APG hire people with project management skills? Does it reward finishing projects on time and on budget? The strategy documents do not answer these questions. The energy system manager aspiration implies coordination capability requirements. Yet the organizational structure remains divided into technical divisions focused on assets, system operations, and finance. This structure supports functional excellence but may not foster cross-functional coordination.



Recommendations

The analysis in Chapter 4 reveals that APG’s Strategy Portfolio 2026 exemplifies strategic planning theater. The portfolio produces comprehensive documentation while avoiding genuine strategic choices. The 15 action fields list what departments want rather than what creates distinctive value. The backward development process prevents the development of a coherent strategy.

The recommendations below address these gaps within APG’s regulated monopoly constraints. They follow Martin’s cascade structure, starting with a winning aspiration and proceeding through subsequent choices. These recommendations prioritize practical implementation over theoretical perfection.

5.1 Reframe the Winning Aspiration

APG should describe its main goal in terms of creating value for others, rather than focusing solely on its own role. A clearer goal could be: Help Austria switch to new energy sources at the lowest cost for society while staying a leader in Europe. This way of thinking focuses on what APG does for others, not just what it wants to be.

The lowest-cost-for-society rule makes it easy to judge ideas. Every plan should lower the total cost of reaching climate goals. Costs include building and running systems, reliability, environmental impacts, and the effort needed to work with others. Plans that do not lower costs for society should not count as strategic.

Being a leader in Europe means APG plays an important part in working with other countries. Austria is small and centrally located in Europe, so it is a key part of the European energy network. This gives APG a bigger role than just building things in Austria.

This goal sets clear limits on what the organization should do. Efforts to increase staff diversity, while good for company culture, do not directly help with the energy switch at

the lowest cost. These would no longer be part of the main strategy. Public relations would focus on changing rules to lower costs, not just improving the company's image.

The goal gives clear ways to measure success. Is APG helping to lower the cost of the energy switch for society? This can be checked by looking at factors such as how often renewable energy is wasted, changes in extra costs to balance the system, the cost to connect each megawatt, and how well markets work across borders.

5.2 Narrow the Where-to-Play Choices

APG should cut its main focus areas from 15 to about 5 key areas where it can make a real difference. The suggested main areas are:

First, building and delivering transmission infrastructure. This means planning, obtaining approvals, building, and launching the €9 billion investment program. APG must finish these projects on time and within budget, even when working with many different groups.

Second, helping renewables work well with the grid. This includes changing how the grid works to handle changing renewable energy, setting up ways for different energy sources to join in, and working with others to make sure renewables are added smoothly.

Third, working with other European countries on energy transmission. This means joining shared planning tools, helping balance energy markets, managing busy power lines between countries, and planning investments together. Austria's location gives APG a special chance to add value by working well with others.

Fourth, building systems that make the energy network more flexible. This includes tools and ways for people to use less energy when needed, add storage, and let more small energy sources help run the system. APG can save money by making these resources work together.

Fifth, being great at working with all groups involved. Big projects need to address public opinion, environmental concerns, and politics. APG can add value by getting approvals faster and avoiding conflicts by working with others.

Activities outside these five areas would no longer be part of the main strategy. This focus aligns with Martin's principle that monopolies must resist mandate drift and maintain strategic discipline [Mar15, Mar16]. Standardizing IT is important for daily work, but it is not a key strategy. Digital tools help staff work better, but do not create special value for others.

5.3 Articulate Explicit How-to-Win Logic

For each main area, APG should clearly explain how it plans to succeed and create value. For building infrastructure, the plan could be: We succeed by finishing projects 30 percent faster than in the past by working closely with others and finding new ways to get approvals, while keeping costs under control by managing risks.

To help renewables fit into the system, the plan could be: We succeed by using 95 percent of the renewable energy we have, by better predicting when to limit use, and by making different resources work together. This could save society €100 million each year compared to the old way of running the system.

For working with other European countries, the plan could be: We succeed by cutting the price difference between Austria and Germany by 40 percent by improving how we plan and manage busy power lines between countries. This would save consumers €50 million a year and make APG the top choice for working with nearby energy companies.

Each plan shows the value created, who benefits, and how it is achieved. They help check if the strategies work.

5.4 Develop Capability Strategy

APG should identify the 3 to 5 most important capabilities it needs for its main areas and establish clear programs to build them. Managing complex projects stands as the first critical capability. This means good planning, working well with others, handling rules and approvals, managing external companies, and reducing risk. APG should assess its current capabilities, identify what is missing, and set up programs to improve through specialized training, standard ways of working, and new technology tools.

Running the overarching European electricity system as well as possible represents another essential capability. This includes forecasting demand, working with markets, managing grid limits, and using resources flexibly. To build this capability, APG needs better data analysis, more flexible tools for daily work, and stronger real-time support for decisions.

Working with other European groups requires making deals with many parties, handling technical details, helping shape rules, and managing relationships with people in other countries. APG should invest in relationships and set up staff exchange programs to better understand different cultures. Designing platforms and markets means defining how markets work, building the necessary technology, ensuring everyone works together, and following the rules. This requires experts in economics, technology partners, and a step-by-step way to design and improve.

For each capability, APG should assess its current level, set goals to improve, develop programs to build the capability, and track progress. Each year, strategy reviews should assess how these capabilities are growing, not just whether projects are completed.

5.5 Align Management Systems

APG should revise its operational management to support its main goals and build the necessary capabilities. The strategy development process needs to flip from bottom-up to top-down. Instead of collecting ideas from departments, each year should begin with the main board reviewing where to focus and how to succeed. Only after these choices are clear should the company select projects that support them.

Resources should be allocated to build key capabilities. Budget decisions should focus on how each project helps build the needed capabilities, not just on whether the project gets done. Each project should be clearly linked to the capability it helps improve. Performance management needs to change as well. Goals for people and teams should come from the main strategy, not just their usual job duties. Project managers should be judged on how well they work with others, not just if they finish on time.

APG should assign someone to each key capability who is responsible for strengthening it. Yearly reviews should check how leaders are building these capabilities, not just how they run daily operations. Clear rules need to define what counts as a main strategy project versus daily work. Main strategy projects should clearly support the key focus areas, help the plan succeed, or build needed capabilities.

A clear process for learning from big projects would help build organizational capability. Each major project should include steps to capture what was learned. What worked well with others? What made costs go up? These lessons should help build capabilities and improve future projects.

5.6 Restructure Strategy Review Process

The yearly strategy review should focus on checking if everything fits together, not just listing projects. The October workshop should address strategic questions before reviewing project updates. Is the aspiration for winning still appropriate given environmental changes? Do the where-to-play choices still represent areas where APG can create distinctive value? Are new fields emerging where company capabilities could create value?

The review needs to check how the how-to-win logic is working. Is APG achieving targeted performance improvements? What evidence demonstrates that the approach creates more value than alternatives? Progress on building must-have capabilities matters more than project completion rates. What progress have capability development programs achieved? What gaps persist?

5.7 Reflections on the Analytical Approach

The Playing to Win framework proved effective at exposing strategic incoherence at APG. The five questions forced the organization to articulate choices it had left implicit. Asking "where will we play?" revealed that APG tries to play everywhere within its regulatory mandate. Asking "how will we win?" exposed the absence of a clear value creation logic beyond maintaining reliability. The cascade coherence concept proved particularly diagnostic by revealing disconnects that comprehensive documentation obscures.

However, the framework requires adaptation for regulated monopolies. The how-to-win choice assumes competitive differentiation, but for monopolies, the question becomes how to create value far exceeding resources consumed. Martin addresses this in his work

on natural monopolies, but practitioners must consciously adapt the framework rather than apply it mechanically.

The research methodology combined document analysis with semi-structured interviews. This combination proved essential. Documents revealed portfolio structure, but interviews exposed the backwards development process that created it. However, the analysis depends heavily on two interviewees from organizational development. Interviews with division heads or board members might reveal different perspectives or articulate strategic logic that the documents do not capture.

For other regulated monopolies, the APG case demonstrates that regulated status does not eliminate strategic choice. APG's mandate permits, but does not require, activities such as platform development or international coordination. The company possesses genuine where-to-play optionality even within regulatory constraints. The framework's value lies in challenging organizations to articulate whether genuine choices exist beneath comprehensive documentation.

Conclusion

This thesis examined Austrian Power Grid’s strategy using Roger Martin’s Playing to Win framework. The analysis shows substantial gaps between APG’s Strategy Portfolio 2026 and the coherent, focused strategy Martin’s framework prescribes. APG has created comprehensive strategy documentation but has not made the tough choices that define genuine strategy.

6.1 Key Findings

APG’s main goal focuses on organizational role rather than value creation for others. The energy system manager framing explains what APG wants to be, but not what value it provides or who benefits. A clearer aspiration to enable Austria’s energy transition at the lowest societal cost would provide better strategic direction.

APG’s where-to-play scope has expanded too broadly. The 15 strategic action fields cover nearly everything the company does, from grid expansion to diversity programs to internal IT standardization. This breadth contradicts Martin’s principle that strategy requires choosing what not to do. [ML13]

The strategy development process works backwards. Organizational units propose initiatives they wish to pursue. Strategy staff then categorize these proposals into action fields. This approach produces planning documents rather than strategic choices.

APG does not articulate a clear how-to-win logic. The company does not explain how its chosen activities create distinctive value for stakeholders. For a regulated monopoly, clearly articulating value creation is essential to justify resource consumption and organizational growth.

APG’s strategy process lacks capability thinking: the company undertakes major initiatives without assessing whether it possesses the necessary competencies or can develop them. This creates execution risk as APG attempts projects it may not be prepared for.

The strategy exhibits weak cascade coherence. The five strategic choices do not reinforce one another. The winning aspiration does not clearly drive where-to-play choices. The broad scope makes it impossible to specify how-to-win logic.

6.2 Contributions to Strategy Theory

This thesis contributes to understanding how Playing to Win applies to natural monopolies. Martin has written about adaptations in monopoly strategy, but almost no empirical studies test his framework in regulated utility contexts.

The analysis supports Martin's warning that monopolies engage in scope creep without competitive discipline. [Mar15, Mar16] APG's 15 action fields show how organizations add activities simply because they can, not because doing so creates distinctive value. Without competition to enforce focus, nothing naturally limits organizational scope.

The thesis demonstrates how backwards strategy development produces planning theater. [Mar14] APG's bottom-up collection approach explains why many organizations struggle to focus their strategy. When strategy means compiling departmental wish lists, the result is coverage rather than focused choice.

The findings on absent capability thinking validate Martin's argument that capability assessment provides essential reality checks for strategy. APG undertakes numerous initiatives without assessing whether it possesses the necessary competencies. This illustrates how organizations confuse aspirations with executable strategies.

6.3 Practical Implications

For APG, the analysis provides a roadmap for strategy reconstruction. The company should begin by clarifying its winning aspiration, then narrow its focus to approximately 5 key fields of play. This enables articulation of specific how-to-win logic and identification of must-have capabilities.

Implementation will encounter resistance from organizational units whose initiatives fall outside the narrowed strategy. Leaders must explain that strategic designation does not determine initiative value. Many important activities occur outside the core strategy because they focus on operational excellence rather than distinctive value creation.

For other natural monopolies, this case offers lessons on avoiding planning theater. Organizations should examine whether their strategies involve genuine choices or simply list activities. Are trade-offs made? Has anything been excluded? If everything important is included, the organization has a plan rather than a strategy.

Regulated industries face pressure to be comprehensive because inclusion placates stakeholders. Strategy staff responding to this pressure create all-encompassing portfolios rather than focused strategies. Reversing this requires leadership insistence on focus over comprehensiveness.

6.4 Final Observations

Austrian Power Grid faces genuine strategic challenges requiring focused capability development and execution excellence. The substantial investment program represents an enormous commitment for the organization. Delivering this program on schedule and budget while maintaining system reliability demands outstanding performance.

These challenges require genuine strategy, not planning documentation. APG needs clarity on where it will focus to create distinctive value, how it will succeed in those arenas, and the capabilities required to do so. The current Strategy Portfolio disperses organizational effort across too many initiatives.

Roger Martin's Playing to Win framework provides useful tools for strategy reconstruction. The framework shows where APG's current approach falls short and offers clear pathways for improvement. Applied thoughtfully, the framework could transform APG's strategy from impressive documentation to genuine strategic choice.

The energy transition depends on the delivery of transmission infrastructure and on system coordination. APG plays a critical role in helping Austria achieve its climate objectives. The company's strategic choices matter not just for organizational success but also for societal transition costs and the effectiveness of climate action. This makes strategic clarity more than an academic concern.

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